



| BUDGET COLUMN |

A Very Well-Crafted Budget

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BY MADAN SABNAVIS, CHIEF ECONOMIST, BANK OF BARODA

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THE BUDGET IS a finely crafted document that starts with the fiscal deficit and manages all components in a cogent manner while embellishing the same with some forward-looking policies to deliver a very neat package. The background for the Budget was different, as the overall size of the exercise came in lower at ₹47.16 lakh crore in FY25 as against a budgeted number of ₹48.20 lakh crore. Therefore, the increase of 7.4% in size over the Revised Estimates at ₹50.65 lakh crore for FY26 is the overall base that can be looked at closely.

Looking at all the numbers, the Budget has balanced various objectives. The income tax relief was very much on cards and the release of ₹1 lakh crore is a booster for consumption and savings, depending on how the taxpayer uses this benefit. Interestingly, the income tax collections would be ₹1.81 lakh crore higher in FY26,

ILLUSTRATION BY RAJ VERMA

